

**Before the
Federal Maritime Commission**

Docket No. 24-08

**Impact Products, LLC and Safety Zone, LLC
v.
Orient Overseas Container Line Limited and OOCL (Europe) Limited**

VERIFIED ANSWER

INTRODUCTORY STATEMENT

Respondents Orient Overseas Container Line Ltd. and OOCL (Europe) Limited (“OOCL” or “Respondent”) provide the following Verified Answer, noting specifically the Order of the Presiding Officer dated June 3, 2024 denying Respondent’s Motion to Dismiss and stating that the “assignment of claims [by Laufer Group International] alleged in and attached to the amended complaint cures the defect alleged by Respondents in the Motion” and therefore denied the Motion to Dismiss. We point out, however, that the assignment of claims that “cures the defect” is only with respect to claims that could have been alleged by the Assignor. Respondent therefore responds only to the surviving claims; those which do not involve cargo carried by Laufer are specifically denied in full.

With respect to the surviving claims assigned by Laufer Group International (“Laufer”) to Complainants, Respondent notes as follows. On information and belief, during the Relevant Period (2021-2022). OOCL had no service contract with either of the Complainants (Impact Products, LLC or Safety Zone, LLC) or with their alleged corporate parent Supply Source Global. And while OOCL had service contracts with Laufer, on information and belief, none of the shipments in the alleged Complaint were carried under Laufer’s service contract with OOCL. Rather, those shipments were controlled by the shipper at origin, who was the OOCL service contract party.

Imposition of delay charges by Laufer on its customers, i.e., Complainants, for delays caused by Laufer is not an unreasonable practice by OOCL, it is an unreasonable practice by Laufer, a non-vessel-operating common carrier (NVOCC) regulated by the FMC and subject to the Interpretive Rule and the requirements of the Ocean Shipping Reform Act of 2022. Finally, Laufer never disputed any charges with OOCL whatsoever regarding these shipments.

Therefore and subject to the foregoing, Respondent Answers the Complaint as follows:

1. Complainants Impact Products, LLC (“Impact Products”) and Safety Zone, LLC (“Safety Zone”) (collectively, the “Complainants”), by their undersigned counsel, bring this Amended Verified Complaint against Respondent Orient Overseas Container Line Limited and OOCL (Europe) Limited (“OOCL” or “Respondent”), pursuant to 46 U.S.C. Section 41301, to seek reparations for injuries to Complainants caused by OOCL’s violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 *et seq.* (the “Shipping Act”).

ANSWER: OOCL admits that Complainants have filed a complaint against OOCL, the contents of which are the best evidence of what it says but denies the remaining allegations of Paragraph 1. OOCL specifically denies both that OOCL violated the Shipping Act, and that Complainants suffered any injury.

2. Since the beginning of the COVID-19 pandemic, global ocean carriers, including OOCL, have, as alleged herein, and upon information and belief, unjustly and unreasonably exploited customers, such as Complainants, by vastly increasing their profits at the expense of shippers and the U.S. public generally, which bears increased freight cost in the form of inflation.

ANSWER: OOCL denies the allegations of Paragraph 2 as to OOCL and lacks information sufficient to respond regarding other ocean carriers.

3. As explained further below, beginning in 2021 through 2022 (the “Relevant Period”), OOCL assessed demurrage, detention, per diem, and yard storage charges (the “Charges”) to

Complainants for periods of time in which Complainants' ability to pick up containers at the ports, or return empty containers promptly, was significantly constrained due to circumstances outside of the Complainants' control, such as congestion at the ports and shortage of equipment.

ANSWER: OOCL denies the allegations of Paragraph 2. OOCL specifically denies that it would have charged detention or yard storage charges on the shipments Complainant engaged the NVOCC Laufer to carry (the "Subject Shipments").

4. OOCL's conduct, as alleged herein, with respect to the receipt, handling, storage, and/or delivery of the Complainants' property and, upon information and belief, of other shippers, occurred on a normal and customary basis.

ANSWER: OOCL denies the allegations of Paragraph 4

5. Complainants Impact Products, LLC and Safety Zone, LLC are corporations with offices in Ohio, Tennessee, and Connecticut, among other locations. Impact Products LLC is located at 2840 Centennial Rd., Toledo, OH 43617 and they have an email address of Thomas.russo@supplysourceglobal.com. Safety Zone LLC has an address of 385 Long Hill Rd., Guilford, CT 06437 and an email address of Thomas.russo@supplysourceglobal.com. Their parent corporation is Supply Source Enterprises ("Supply Source"). Complainants are "shippers" pursuant to 46 U.S.C. 40102(23). Impact Products is the leading manufacturer of supplies and accessories for the cleaning industry, and Safety Zone manufactures safety equipment and products. They have been in business for over fifty years. Impact Products was formed in 1963 and Safety Zone in 1973. Complainants have service centers in Connecticut, Ohio, and Shanghai, China and distribution centers in Connecticut, Indiana, California, Texas, and Florida.

ANSWER: OOCL denies the allegation of Paragraph 1 that Complainants are "shippers," except insofar as they are designated as the shipper and/or consignee on the bill of lading

for a specific shipment. Respondent specifically denies that Complainants appeared on any ocean bills of lading issued by Respondent under any designation (“shipper”, “consignee”, “notify party” or any other designation), nor did Respondent contract with Complainants in any other way to carry any of the shipments carried by Laufer for Complainants (“Subject Shipments”). OOCL lacks information sufficient to admit or deny the remaining allegations of Paragraph 5.

6. Upon information and belief, Respondent Orient Overseas Container Line Limited is a company existing under the laws of Hong Kong with its principal place of business located at 25 Harbour Road, 31st Floor Harbour Centre, Wanchai, Hong Kong, acting in the United States by and through its agent, OOCL (USA) Inc. (“OOCL (USA)”), a company existing under the laws of the State of New York with its principal place of business located at 10913 South River Front Parkway, Suite 200, South Jordan, UT 84095. Respondent Orient Overseas Container Line Limited is a global ocean carrier that offers container transportation and serves multiple ports in the United States.

ANSWER: OOCL admits the allegations of Paragraph 6 except that OOCL lacks information sufficient to admit or deny the allegation that it is a “global ocean carrier,” since that term is nowhere defined.

7. Upon information and belief, Respondent OOCL (Europe) Limited is a company existing under the laws of the United Kingdom with its principal place of business located at OOCL House, Levington Park, Bridge Road, Levington Suffolk, IP10 ONE, United Kingdom, acting in the United States by and through its agent, OOCL (USA). Respondent OOCL (Europe) Limited is a global ocean carrier that offers container transportation and serves multiple ports in the United States.

ANSWER: OOCL admits the allegations of Paragraph 7 except that OOCL lacks information sufficient to admit or deny the allegations that it is a “global ocean carrier” since that term is nowhere defined.

8. Upon information and belief, Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited are both wholly owned subsidiaries of Orient Overseas (International) Limited (“OOIL”), which itself is majority owned and controlled by COSCO SHIPPING Lines Co., Ltd. (“COSCO”).

ANSWER: OOCL admits the allegations of Paragraph 8.

9. Upon information and belief, Respondent OOCL and its agent OOCL (USA) acted jointly in the conduct alleged herein with respect to Complainant and, upon information and belief, other shippers, and therefore are referred to herein collectively as “OOCL” or “Respondent.”

ANSWER: OOCL denies any of the conduct alleged in the Complaint. OOCL specifically denies any of the conduct alleged in the Complaint with respect to other shippers.

10. The Federal Maritime Commission (“FMC”) has jurisdiction over this Amended Verified Complaint pursuant to 26 U.S.C. §§ 41301 through 41309.

ANSWER: OOCL denies the allegation of Paragraph 10 that the FMC has jurisdiction under “26 U.S.C. §§ 41301 through 41309,” but admits that the FMC generally has jurisdiction pursuant to the Shipping Act, except for claims that sound in contract or belong in federal court pursuant to the Shipping Act, Judiciary Act of 1789. Or the U.S. Constitution. OOCL specifically denies that the FMC has jurisdiction over cargo moving on IPI terms under rail bill of lading issued by a rail or truck carrier.

11. The FMC has personal jurisdiction over OOCL as an ocean common carrier, as that term is defined by 46 U.S.C. Section 40102(18), that has entered into a “service contract”, as that term

is defined by 46 U.S.C. Section 40102(21), with Laufer Group International (“Laufer”).

ANSWER: OOCL admits the allegation of Paragraph 11 that the FMC has personal jurisdiction over OOCL as an ocean common carrier. The remaining allegations of Paragraph 11 are meaningless surplusage which OOCL cannot understand and so denies. OOCL specifically denies that any of the Subject Shipments moved under its service contract with Laufer Group International, which is a large NVOCC that carries cargo for many customers, and is the customer in turn of many VOCCs.

12. OOCL’s actions alleged herein constitute failures by OOCL to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Complainants, in violation of 46 U.S.C. Section 41102(c) and the FMC’s Interpretive Rule on Demurrage and Detention under the Shipping Act, 85 Fed. Reg. 29,638 (May 18, 2020 (partially codified at 46 C.F.R. Section 545.5) (the “Interpretive Rule”), and in particular the Incentive Principle articulated in the Interpretive Rule.

ANSWER: OOCL denies *in toto* the allegations of Paragraph 12.

13. OOCL’s assessment of the Charges or a substantial majority thereof, and the alleged acts and omissions of OOCL that led to the assessment of such Charges, also constitute violations of 46 U.S. Section 41104, including 46 U.S.C. Section 41104(a)(10)’s prohibition on unreasonable refusals to deal or negotiate.

ANSWER: OOCL denies *in toto* the allegations of Paragraph 13.

14. For the period of 2021 through 2022, Complainants used Laufer, a non-vessel operating common carrier (“NVOCC”), to assist in delivering containers with Complainants’ goods (the “Relevant Containers”) from outside the United States to the United States. Upon information and belief, Laufer entered into a service contract or service contracts with OOCL for the shipment of the Relevant Containers on OOCL’s vessels. Laufer, as an NVOCC, booked the

shipment of the Relevant Containers under these service contracts.

ANSWER: OOCL denies the allegations of Paragraph 14 except that OOCL admits that Laufer is an NVOCC and that OOCL was party to a service contract or service contracts with Laufer and that Laufer, as an NVOCC, acted as the common carrier for Complainants with respect to certain shipments. OOCL specifically denies, however, that any of the Subject Shipments moved under the service contract between Laufer and OOCL.

15. Throughout the Relevant Period, Complainants, through Laufer, shipped 393 unique containers using OOCL. Of those containers, OOCL assessed Laufer with demurrage on 59 containers, detention charges on 27 containers, per diem charges on 129 containers, and yard storage charges on 32 containers. The total demurrage, detention, per diem, and yard storage charges total \$439,795.

ANSWER: OOCL lacks information sufficient to admit or deny the first sentence of Allegation 15, inasmuch as the alleged arrangements were between Complainants and Laufer. Similarly, OOCL lacks information sufficient to admit or deny the second sentence of Allegation 15, inasmuch as OOCL has no information as to which of the alleged detention, demurrage, or per diem charges may or may not have been assessed by OOCL on Laufer for any of Complainant's particular shipments and therefore denies the numbers of containers alleged in Paragraph 15 to have been charged by OOCL on Laufer.

16. Laufer passed the Charges through to Complainants with no markups. While Laufer invoiced Complainants for the Charges, it simply acted as a conduit for the Charges that were assessed by OOCL. Complainants subsequently paid Laufer a total of \$439,795 for the Charges assessed by OOCL during the Relevant Period. Laufer then used the proceeds it received from Complainants to pay OOCL.

ANSWER: OOCL lacks information sufficient to admit or deny the allegations of

Paragraph 16, except that OOCL denies the allegations of the last sentence of Paragraph 16 as misstating the order of events.

17. Laufer has assigned the claims alleged herein against OOCL to Complainants. A true and correct copy of the Assignment of Claims Agreement between Complainants and Laufer is attached herein as **Exhibit A.**

ANSWER: OOCL admits the allegation of Paragraph 17 that Laufer assigned certain claims against OOCL to Complainants but, as set forth in the Introductory Statement, specifically denies that the Complainants have any standing to assert any claims other than those assigned by Laufer to Complainants.

18. As Commissioner Rebecca F. Dye emphasized in her Final Report from the FMC's Fact Finding Investigation 29, "the Interpretive Rule on Detention and Demurrage promulgated by the Commission pursuant to Fact Finding 28 provides the shipping public with an enforceable principle that the Commission employs to assess the reasonableness of demurrage and detention practices and regulations under the Shipping Act of 1984, as amended."

ANSWER: OOCL asserts that the document itself is the best evidence of its contents.

OOCL denies that the existence of this document makes it so.

19. As set forth in the FMC's Interpretive Rule, "the purpose of demurrage and detention are to incentivize cargo movement," and therefore the FMC "will consider in the reasonableness analysis under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity."

ANSWER: OOCL asserts that the Interpretive Rule itself is the best evidence of its contents.

20. OOCL's assessment of the Charges, or a substantial majority thereof, and OOCL's acts and omissions that led to the assessment of the Charges, were incapable of incentivizing cargo movement and therefore unreasonable.

ANSWER: OOCL denies the allegations of Paragraph 20.

21. To maximize container use and port storage space, carriers charge a daily fee to shippers who fail to pick up containers promptly or after the number of free days has expired. Similarly, an importer faces detention charges if it fails to unload a container and return the empty container to the port within the free period.

ANSWER: OOCL denies the allegations of Paragraph 21 as inaccurate.

22. OOCL refused to act reasonably by increasing the number of free days available to Complainants even though OOCL created delays beyond Complainants' control.

ANSWER: OOCL denies the allegations of Paragraph 22. OOCL also notes that any free time was available to Laufer, not Complainants and that the Complaint does not allege that Laufer requested from OOCL any extension of free time for any specific shipment(s).

23. In 2021 and 2022, the volume of shipments coming into certain ports had surged, compared to 2020. Even though the volume increased, OOCL refused to divert shipments to less crowded ports and also failed to extend the number of free days before it assessed the Charges.

ANSWER: OOCL lacks information sufficient to admit or deny the allegation of the first sentence of Paragraph 23, given that the term "certain ports" is undefined. As to the second sentence of Paragraph 23, OOCL denies that it refused to divert shipments to less crowded ports or, as already answered in response to Paragraph 22, that OOCL failed to extend free time for specific shipment(s) upon request. OOCL notes that the Complaint does not allege that Laufer requested diversion of vessels (or that OOCL could divert vessels or that other, less-crowded ports suitable for particular OOCL vessels were available) or requested extension of free time for any specific shipment(s).

24. The Charges assessed by OOCL and paid by Complainants were assessed during periods of time in which such Charges were not just or reasonable because of circumstances outside the control

of Complainants and their agents and service providers, such as congestion at ports and shortage of equipment.

ANSWER: OOCL denies the allegations of Paragraph 24.

25. OOCL failed to provide adequate practices and facilities to handle and store OOCL's empty containers and also failed to provide adequate facilities for its customers, including Complainants, to return empty containers.

ANSWER: OOCL denies the allegations of Paragraph 25.

26. Despite that knowledge, OOCL continued to accept Complainants' goods for ocean common carriage and for receipt, handling, storage, and/or delivery through the ports.

ANSWER: OOCL denies the allegations of Paragraph 26.

27. OOCL failed to provide reasonable free time for Complainants for containers OOCL transported into the ports during the time OOCL failed to clear its container backlog.

ANSWER: OOCL denies the allegations of Paragraph 27.

28. The Charges did not serve, and could not have served, as a financial incentive to promote freight fluidity, but instead operated only as a punitive penalty on Complainants for circumstances over which Complainants and their agents and service providers had little to no control.

ANSWER: OOCL denies the allegations of Paragraph 28.

29. OOCL also failed to provide sufficient detail on its invoices to allow Complainants to understand the reasons for the Charges and to be able to contest the Charges.

ANSWER: OOCL denies the allegations of Paragraph 29.

30. If not fixed, OOCL's unlawful practices will become industry standard and leading to a situation where all global container lines can impose the improper detention and demurrage charges upon shippers because of delays and conditions outside of shippers' control.

ANSWER: OOCL denies the allegations of Paragraph 30.

31. Complainants repeats and reallege the allegations above as if fully set forth herein.

ANSWER: OOCL repeats and reasserts the answers above as if fully set forth herein.

32. OOCL's assessment of the Charges, and the alleged acts or omissions of OOCL that led to the assessment of such Charges, constitutes failures by OOCL to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering Complainants' property in violation of 46 U.S.C. Section 41102(c), 46 C.F.R. Section 545.5, and the FMC's Interpretive Rule.

ANSWER: OOCL denies the allegations of Paragraph 32. OOCL also notes that 46 C.F.R. Section 545.5 is the "FMC's Interpretive Rule."

33. Complainants repeat and reallege each allegation above as if fully set forth herein.

ANSWER: OOCL repeats and reasserts the answers above as if fully set forth herein.

34. OOCL's assessment of the Charges, and the alleged acts or omissions of OOCL that led to the assessment of such Charges, constitutes unreasonable refusal to deal or negotiate with Complainants, in violation of 46 U.S.C. Section 41104(a)(10).

ANSWER: OOCL denies the allegations of Paragraph 34.

35. The foregoing alleged illegal acts of OOCL have directly and proximately injured Complainants by forcing Complainants to pay the Charges.

ANSWER: OOCL denies the allegations of Paragraph 35. OOCL specifically denies that it forced Complainants to pay the Charges and that Complainants paid any charges to OOCL.

36. Complainants have been, and continue to be, actually and materially injured by each of OOCL's continuous conduct in violation of the Shipping Act alleged herein.

ANSWER: OOCL denies the allegations of Paragraph 36.

37. OOCL's violations alleged herein are causing direct, proximate, and ongoing financial damages to Complainants in an amount in excess of \$400,000 and to be further demonstrated in this

proceeding.

ANSWER: OOCL denies the allegations of Paragraph 37.

REQUEST FOR ORAL HEARING

Respondent requests an oral hearing in Washington, D.C.

AFFIRMATIVE DEFENSES

1. The FMC lacks authority to adjudicate this matter, as it would violate the Seventh Amendment.
2. The FMC lacks authority to adjudicate this matter, as it would violate the Judiciary Act of 1789.
3. The FMC lacks authority to adjudicate this matter to the extent that Complainants claims sound in contract.
4. Complainant has failed to plead essential elements of a claim under 46 U.S.C. Section 41102(c).
5. Complainant has failed to plead essential elements of a claim under 46 U.S.C. Section 41104(a)(10).
6. Complainant waived all of its claims due to its failure to use the procedures required by the FMC and maintained by OOCL for addressing disputes about detention, demurrage, and per diem charges.
7. Because OOCL maintained procedures for disputing detention, demurrage, and per diem charges and Complainant willfully declined to use them, OOCL's actions are *per se* reasonable.
8. Any harm experienced by Complainant was as a result of its own failures or inaction.
9. Complainant has failed to state a claim for which relief can be granted, including for reasons of vagueness.

10. Complainants have no more rights against OOCL than Laufer had against OOCL, and Laufer had no claims against OOCL.
11. Complainant has not suffered any actual injury or damage as a result of Respondent's alleged violations of the Shipping Act, which, if any, are denied.
12. Complainant acted as a volunteer in making payments to non-party Laufer without determining the validity of Laufer's claims before making payment.
13. Complainant lacks standing to assert any claims other than those assigned to it by Laufer.
14. Any delay in the delivery of cargo or return of empty equipment that resulted in charges to the Complainants was caused by Laufer or its agents and was the responsibility of Laufer or its agents; invoicing the Complainants for charges incurred due to Laufer's delay was an unreasonable practice by Laufer, a non-vessel-operating common carrier (NVOCC) regulated by the FMC.
15. To the extent that the Claims involve charges from entities other than OOCL, such as railroads, terminal operators, truckers, and storage facilities, OOCL cannot be held responsible.

DATED: June 7, 2024

Respectfully submitted,

/s/ Rebecca A. Fenneman

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**ATTORNEYS FOR RESPONDENTS,
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VERIFICATION

I declare under penalty of perjury that the foregoing Answer is true and correct. For
OOCL (USA) Inc. on behalf of Orient Overseas Container Lines Ltd. and OOCL
(Europe) Ltd.:

By: Gavin Murdoch

Date: June 7, 2024

Name: Gavin Murdoch

Title: VP - Risk & Compliance

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CERTIFICATE OF SERVICE

I certify that on this 7th day of June, 2024, a true and correct copy of the foregoing **VERIFIED ANSWER** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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